

To Beat Musk, Bezos Befriended Trump

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AI Executive Summary

Core Thesis The episode explores the dramatic strategic pivot in the relationship between Donald Trump and Jeff Bezos, transitioning from intense personal and political animosity during Trump's first term to a transactional alliance in his second. This realignment is driven by a mutual interest: Trump seeks to surround himself with influential billionaires, while Bezos aims to mitigate the competitive threat posed by Elon Musk—whose heavy financial backing of Trump threatens Blue Origin's ability to compete for federal space contracts against SpaceX.

Key Arguments & Data

- * **Historical Hostility:** During his first term, Trump frequently attacked Bezos personally (calling him "bozo") and accused him of using the *Washington Post* as a political tool. Conversely, Bezos reportedly pressured media executives to take harder stances against Trump's rhetoric.
- * **The Musk-SpaceX Competitive Threat:** Elon Musk's \$250 million+ investment in Trump's reelection and his role as a "special government employee" have created an imbalance in the space industry.
- * **Launch Metrics:** In 2024, SpaceX conducted over 160 launches (mostly satellites), while Blue Origin conducted only about 11 flights (mostly space tourism).
- * **Technological Gap:** Blue Origin has struggled with delays to its "Glenn" rocket, leaving it reliant on smaller-scale missions compared to the established dominance of SpaceX.
- * **Evidence of Bezos's Strategic Pivot:** To cultivate goodwill with the Trump administration, several high-profile moves were observed:
- * **Editorial Shift:** The *Washington Post* abandoned its long-standing tradition of endorsing Democratic candidates by scuttling an endorsement for Kamala Harris.
- * **Financial Signaling:** Amazon paid \$40 million to license a documentary about Melania Trump—nearly triple the next highest offer—and donated \$1 million to the presidential inauguration.
- * **Quantifiable Business Impact:** The "transactional" relationship is yielding significant growth in federal revenue:
- * **Blue Origin:** Annual average federal contracts grew by 177% compared to the Biden administration. Blue Origin has already secured \$1.1 billion in contracts under the current Trump term, nearly matching its total for the entire four-year Biden administration (\$1.2 billion).
- * **Amazon Web Services (AWS):** Federal contract revenue for AWS hit a record \$389

million last year, an increase of over 50% from the final year of the Biden administration. * **Political Influence on Procurement:** The episode highlights a controversial trend where the President appears to influence agency-level decisions, with Trump explicitly stating a desire to direct space contracts toward competitors like Blue Origin to reduce reliance on SpaceX.

Actionable Takeaways * **Monitor Political-Business Alignments:** For investors and industry analysts, tracking the "transactional" shifts in relationships between major corporations and the White House is critical for predicting shifts in federal procurement and contract awards. * **Assess Regulatory Risk via Proxy Competitors:** When evaluating companies like Blue Origin or SpaceX, one must look beyond technical capability and assess the political influence of their primary competitors (e.g., Elon Musk's proximity to power). * **Watch for "Goodwill" Indicators in Corporate Spending:** Unusual capital outlays—such as disproportionately high licensing fees or political donations—can serve as leading indicators of a company's strategy to mitigate political risk and secure government favor.

Full Transcript

For years, President Trump had an ongoing feud with one of the world's most powerful men, Jeff Bezos. So this was really very much a tense relationship where Bezos received a lot of the ire from the president. Our colleague Dana Mattioli has been covering Trump's relationship with Bezos. During the first Trump administration, this was a really fraught relationship. Amazon, the Washington Post, and specifically Bezos was a very popular punching bag for Trump during those first four years. He often tweeted about those companies and Bezos. He would refer to Bezos as bozo. He would claim that Amazon was a lobbying arm of the Washington Post. But he bought the Washington Post to have political influence. And I got to tell you, we have a different country that we used to have.

We have a different, he owns Amazon. He wants political influence so that Amazon will benefit from it. That's not right. And Dana says there are two stories from Trump's first term that capture what these two men thought of each other. So it's in 2017, Anthony Scaramucci had just started as the communications director for the White House that day in a very notoriously short stint in that role. Trump called Scaramucci into his office. He asks Anthony, can we break up Amazon? And he says, I hate this son of a bitch, Jeff Bezos, and I hate the Washington Post. Strong words, yes. And that was recounted to me by Anthony Scaramucci. The second moment that captured the Trump-Bezos relationship came a year later in 2018 at an Oscars party. According to Andy Lack, then the chairman of NBC, Bezos approached him about the network's coverage of Trump. He says to Andy, when are you guys going to stand up to Trump? And Andy asked him, what are you referring to? And Bezos responds, come on, you're letting him off the hook. And then he sort of storms away. And that was a pretty telling scene because it showed that behind the scenes Bezos was unhappy with the media coverage of the president at the time, didn't think that it was hard hitting enough.

Bezos denied that interaction ever happened. But it's safe to say there was no love lost between Trump and Bezos. Fast forward eight years, and the dynamic between the two men has changed dramatically. I would say that

this is one of the biggest 180s that I've seen in corporate America. On both sides. We've reported that Trump likes to be surrounded by powerful people by rich people. So I think that there's this prestige factor by having people like Jeff Bezos in your inner circle for the president. For Bezos, there's a more transactional benefit to being close with the president. An opportunity to catch up with one of his biggest rivals. What we learned is that his turnaround on Trump was partly a recognition that Trump's relationship with Elon Musk was threatening to Bezos' own space company, Blue Origin. Welcome to the Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Thursday, July 16th. Coming up on the show, how Jeff Bezos' new relationship with Trump is paying off. Jeff Bezos has turned around on Trump, started with Elon Musk. Back in 2024, Musk loomed large in Trump's circle.

The two men were often together on the campaign trail. His name is Elon Musk. He saved free speech. Musk spent over 250 million of his own money to back Trump's reelection. He traveled with him once Trump was elected. He would get on phone calls with Trump and state leaders and the leaders of foreign governments. And he campaigned for him. He camped out in Pennsylvania to get Trump reelected. I think it's the most important election of our lifetime. This is no ordinary election. The other side wants to take away your freedom of speech. So he built up all this goodwill with President Trump and his cabinet and people around him. Musk stuck by Trump through his first months in office and was given the title of special government employee. According to Dana's reporting, their relationship worried many people in Blue Origin, Bezos's space company.

So Musk runs SpaceX, which is one of the biggest space exploration companies in the world. Actually, it is the biggest. And it already had a sizable lead on Blue Origin. And Blue Origin executives and also other people in the space industry were worried that that would result in even more federal contracts for SpaceX and create an even bigger delta between them and everyone else. How would you compare the business of Musk's SpaceX to the business of Blue Origin at the time, 2024? So SpaceX was just really far ahead of Blue Origin. Blue Origin had been working on their new Glenn rocket for a very long time and up until 2025 it hadn't been able to launch that rocket. Instead it was doing a lot of these space tourism

missions where people like Katy Perry and others would go to outer space for a short visit and come back.

Blue Origin didn't have a rocket that could regularly send things like government satellites into space. Last year, it only launched 11 flights, most of them tourist trips. Meanwhile, SpaceX launched more than 160 flights that mostly delivered satellites into orbit. Talk about Jeff Bezos. We think about Amazon. We maybe think about the Washington Post, but like, how important is Blue Origin to Bezos? Blue Origin is Jeff Bezos' baby. A few years ago, he stepped back from day-to-day operations at Amazon. He stepped down as CEO. And people around him tell me that the bulk of his time these days is spent on Blue Origin. He views this as his legacy. He views Blue Origin as something that he's doing to better humanity. And so he's very, very focused on this. Bezos has said that he's also focused on Prometheus, his new AI company.

Bezos started to publicly change his tune on Trump during that 2024 campaign. After Trump was shot in an assassination attempt that July, Bezos called to tell him he was, quote, a badass. A few months later, as the election heated up, Bezos scuttled the Washington Post's plan to endorse Democrat Kamala Harris. The move comes as a massive shocker for readers as the Washington Post has endorsed candidates since the 1970s, all of whom were Democrats. And that was something that we heard from people around President Trump that he was happy about, as you can imagine. And that was a controversial decision at the time, and Bezos has stood by that decision. Bezos has said he didn't regret blocking the presidential endorsement at the post and would do it again, but said he should have announced his decision sooner. So that's the Washington Post, which Bezos owns. But he's most known for being the name and face of a business that's really ingrained in Americans' everyday lives. Has Amazon done anything that might have developed goodwill with the president? We've reported that Amazon, which is a company that really prides itself on frugality and very sharp negotiating, it's a company that...

Competitors or partners would always come to me when I covered them saying that they are so hard to deal with they don't want to spend a penny more than they have to okay I just want to say like Dana you used to cover

Amazon like full time so you know this company really well many many years and There was a head scratching moment where Amazon this frugal company paid 40 million dollars to license a documentary about First Lady Melania Trump. It is a first for a First Lady Melania Trump, starring in a movie while still in the White House. And we were able to disclose, according to our sources, that that was nearly three times the next closest offer. So that was one other data point that made a lot of people scratch their heads. You know, then the inauguration comes around, and Jeff Bezos and his wife Lauren Sanchez appear on the dais there alongside other prominent CEOs, and Amazon cuts a 1 million check to the inauguration. So there have been a series of decisions that are departures from how the company had behaved during the first Trump administration. What do we know about the calculation that Bezos is making here? You know, all of these moves, what is your reporting shown in terms of what he was trying to achieve? Yeah, so I spoke to one of Bezos' friends, Barry Diller, He is the chairman of the media conglomerate People Incorporated, which used to be called IAC. And he said, you tell me what you would have done in October, November, December, 2024, when your largest competitor was the main backer of the next president of the United States. And then he said, this company depends on the government, that the company he's mentioning is Blue Origin. Now, with Trump and Bezos on good terms, Blue Origin is reaping the rewards. That's after the break. These days, Trump and Bezos are friends. They text regularly. They've gone to dinners together. And Bezos has started talking up Trump in interviews. And I think he is a more mature, more disciplined version of himself than he was in his first term. And we know from people around Bezos that...

Bezos has spent time with Trump one-on-one and came away from those conversations thinking that the president was less extreme and more charming than his public persona. And according to Bezos, he doesn't just have a good relationship with Trump. He told employees at the post that he's had ties with other presidents, including President Obama. He said the only one he didn't work well with was President Biden. We reported that Bezos grew really frustrated with the Biden administration and he viewed them as anti-business. And what we saw with Bezos was that he was largely shunned by the Biden White House. One of the reasons was that Biden said he would be the most pro-union president in history. And Bezos is famously

anti-union. Amazon has resisted all employee efforts to unionize. So Bezos was not invited to these big round tables where other CEOs would, you know, speak to the president or his advisors. Bezos didn't really speak to Biden one-on-one, but...

people like Walmart's CEO did. So Bezos knew what it was like to be on the outs of the White House. Now that he has a good relationship with this administration, I mean, how has that worked out so far, especially for Blue Origin? Well, we did a major analysis of federal contracts for Blue Origin. And what we found is that Blue Origin's federal contracting work has accelerated really sharply during Trump's second term. Its rivals The total dollar amount of the contracts remain larger, but the growth for Blue Origin has been something. According to that analysis, Blue Origin's average annual contracts under Trump grew 177% from the annual average under Biden. So Blue Origin's overall contracts under Trump's current administration, which is obviously just part way through, have reached 1.1 billion. And that's compared with...

around 1.2 billion for the entire four-year Biden administration. So it's paying off. It seems to be. Has the White House said anything about that? So White House spokesman Kush Desai told us that Trump wasn't giving Bezos special treatment and that the president is committed to working with every American business and business leader. And he added that Trump is a friend and ally to industry leaders in a range of industries, including automobiles, pharmaceuticals, and tech. These new government contracts are important for Blue Origin, which is trying to grow. It has big goals like launching more satellites and Pentagon payloads into space and landing on the moon. Blue Origin has been racing to ramp up production and its operations. It's trying to deploy its own communication satellite fleet and helping to develop an AI satellite constellation, so that would put it more head-to-head with SpaceX's Starlink.

So this is a major pivotal moment for Blue Origin. Still, SpaceX has won more federal money than Blue Origin under Trump. 4.6 billion. And Blue Origin has continued to face setbacks. In May, one of its rockets exploded on the launch pad in Florida. We begin tonight with some breaking news in Cape Canaveral. There's been what appears to be an explosion on the New

Origin launchpad. Just some absolutely shocking video you're seeing this come again. Oh my goodness, just after nine tonight. According to an administration official, Trump told AIDIS he was surprised and disappointed by the explosion. He asked if the launchpad was damaged, why it exploded, and whether the problems could be fixed for future flights.

Space Force officials said at the time they would work with Blue Origin to identify and correct the problem. They also immediately announced expanded work for the company. How much of Trump's support for Blue Origin has to do with Bezos versus his up and down relationship with Elon Musk? Trump and Musk had this public feud last year in June that played out over Twitter. And at the time, Trump told allies and White House advisors that he wanted to see space contracts increasingly go to other companies instead of SpaceX. That's according to our sources. And the president told one of those people that he wanted to see Bezos benefit. And you would think that the president would sort of not be involved in those sorts of decisions, but this has been, you know, we've written other stories about this, that the president is getting involved at other agencies and is really much more hands-on. And it's not just Blue Origin.

Amazon Web Services, the company's cloud business, hit a record 389 million in federal contracts last year, up more than 50% from Biden's final year in office. Dana, what does the story of this relationship turn around? And its effects for Bezos and his businesses tell you? This is a White House that values people in power, the president that likes to be surrounded by billionaires and powerful people. And, you know, when I speak to business leaders off the record or behind the scenes, they sort of acknowledge that this is a more transactional White House and that you have to do some of these things in order to stay in good graces. I mean, this idea of building up a relationship, seeing that kind of bare fruit in business, is that really remarkable?

In US politics, what stands out to you about all of this? I think it's pretty remarkable to have a sitting president say that they want government business directed one way or another, based on the current stance of one's relationship with those business leaders. And I think Bezos probably learned from the first administration when he was on the receiving end of

being the punching bag that that's not a fun place to be. Before we go, do you work remotely? Do you wish that you did? Or maybe you're stuck at home, missing out on office culture. Tell us about it. We want to hear your thoughts on hybrid work, return to office mandates, and how you're navigating the two. Send us a voice memo to TheJournal at [wsj.com](https://www.wsj.com). That's all for today, Thursday, July 16th. The Journal is a co-production of Spotify and The Wall Street Journal. Additional reporting in this episode by Josh Dawsey, Micah Maidenbergl, and Shane Shiflett. Thanks for listening. See you tomorrow.